Difference between GDP and GNI

Both GDP and GNI are obtained by summing over the same set of resident institutional units; there is no justification for labelling one as "domestic" and the other as "national". Both aggregates refer to the total economy defined as the complete set of resident institutional units or sectors. The difference between them is not one of coverage but the fact that GDP measures production while GNI measures income. Both have an equal claim to be described as domestic or national. However, as the terms "gross *domestic* product" and "gross *national* income" are deeply embedded in economic usage, the SNA did not propose to change them. Emphasis should be given, however, to the third rather than second letter of the acronym to emphasise the fact that GDP refers to production (output) and GNI to income.

The catch word for GDP is "product" and the catch word for GNI is "income". GDP is strictly a production measure and GNI is strictly an income measure.

4. Net National Income (NNI)

Net National Income (NNI) is arrived after deducting Consumption of Fixed Capital from gross national income.

NNI = GNI – Consumption of Fixed Capital

It is known as national income. By dividing this by estimated population **Per Capita Income** is arrived at.

5. Gross National Disposable Income (GNDI)

Disposable income refers to the income that is available which can be disposed (spent) or saved.

Disposable Income = Income available for spending + Income available for saving